

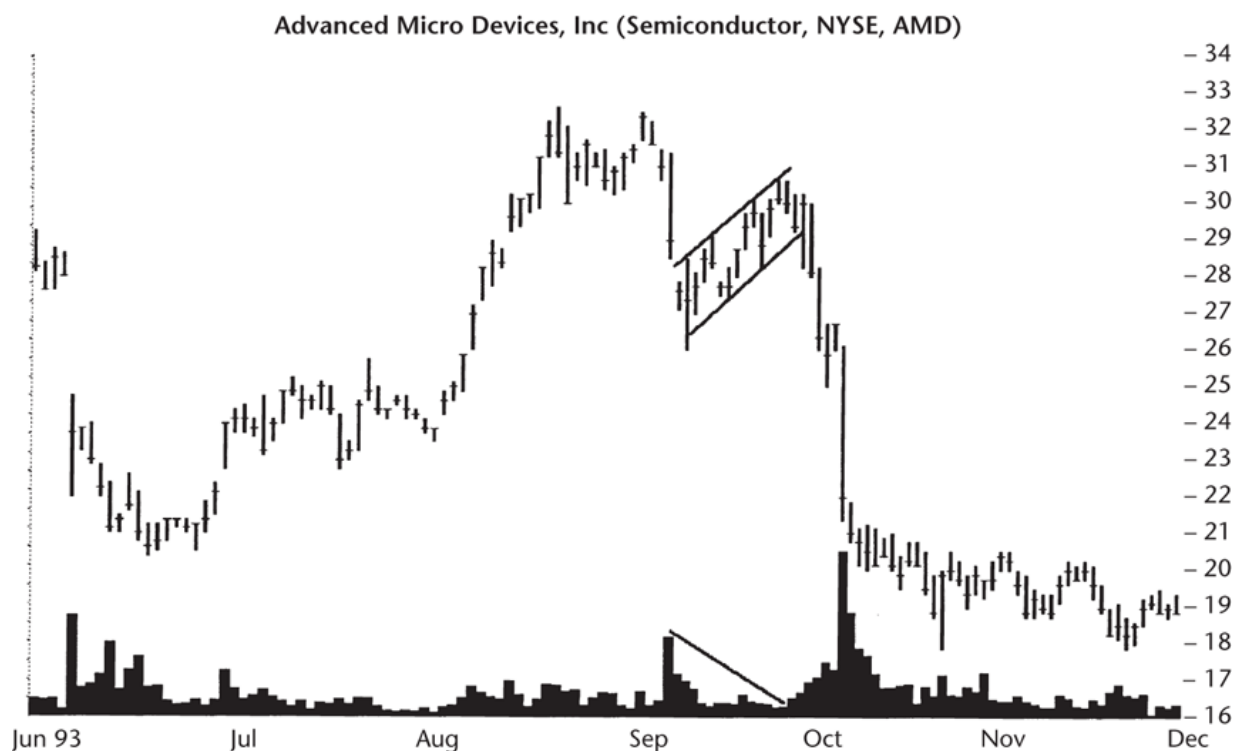


Figure 21.1 A bump-and-run reversal leads to a cup-with-handle formation. Note the price scale as the breakout occurs at about 30 and the stock climbs to 120 in fewer than 2 months. The cup handle is also a high and tight flag pattern.

Profit-taking stunted the climb and price moved horizontally for almost 2 weeks before resuming its rise. This movement formed the cup handle (incidentally, the handle in this pattern is a high, tight flag chart pattern). Volume during formation of the handle was down sloping—higher at the start and trending lower. When price closed above the right cup rim, a breakout occurred. This accompanied a surge in volume that propelled price higher. However, a week after the breakout, price threw back to the handle top before continuing upward. This throwback allowed nimble traders the opportunity to enter new positions or add to existing ones. By late May, just 44 days after the breakout, the stock reached the ultimate high of 120.

Identification Guidelines

Table 21.1 shows the identification guidelines I used to find the cup with handle pattern.